

HORIZON NATIONAL BANK

Collection and Recovery Policy 2026

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1. Purpose and Scope

This policy governs the collection of overdue amounts and the recovery of dues from borrowers across all retail lending products.

2. Classification of Overdue Accounts

- Special Mention Account 0: principal or interest overdue between 1 and 30 days.
- Special Mention Account 1: overdue between 31 and 60 days.
- Special Mention Account 2: overdue between 61 and 90 days.
- Non-Performing Asset: overdue beyond 90 days.

3. Contact Standards

Contact with a borrower is permitted only between 08:00 and 19:00 hours on any day.

Recovery personnel must identify themselves by name and employee or agency identifier at the start of every interaction.

The use of threatening, abusive or obscene language is prohibited. Any substantiated instance shall result in termination of the agency engagement.

4. Escalation Sequence

- Day 1 to 15: automated reminder by message and email.
- Day 16 to 45: telephonic follow up by the collections desk.
- Day 46 to 90: field visit by an authorised representative after prior intimation.
- Beyond 90 days: formal demand notice and referral to the legal recovery process.

5. Settlement and Write Off

A one time settlement may be considered only where recovery of the full dues is demonstrably unlikely, and requires approval two levels above the original sanctioning authority.

Every settlement must be reported to the credit information companies with the correct status.

6. Repossession of Security

Repossession of a hypothecated asset shall follow the procedure stated in the loan agreement and applicable law, including prior notice and an opportunity to regularise.

An inventory of the repossessed asset shall be prepared in the presence of the borrower or an independent witness.

7. Human Review

No account shall be referred for legal recovery or settlement solely on the basis of an automated recommendation. A credit administration officer must record the decision.

8. Grievances

Complaints regarding recovery conduct shall be treated as High severity under the Customer Complaint Policy 2026 and actioned within 1 working day.

End of Collection and Recovery Policy 2026. This document supersedes all prior versions. Queries to Credit Administration Department.